NAFTA

The North America Free Trade Agreement (NAFTA) was implemented on 1 January 1994 among United States, Canada and Mexico. This agreement was arrived at with the aim to remove trade and investment barriers among these three countries. Remaining duties and quantitative restrictions were eliminated in 1 January 2008. USA and Canada signed the Canada-USA Free Trade Agreement (CUFTA) in the year 1989. Some provisions of CUFTA like those related to agriculture were incorporated into NAFTA. Under NAFTA all non-tariff barriers to agricultural trade between USA and Mexico were eliminated. Further, some major tariff barriers were removed immediately after emergence of NAFTA while others were being passed out over periods of 5 to 15 years. Mexico and Canada arrived at a separate NAFTA agreement on market access for agricultural products. This agreement eliminated almost all the tariffs, some immediately and others over a period of 5 to 15 years. However, tariffs affecting trade in dairy, poultry, eggs and sugar remained. NAFTA created the world's largest free trade area, which now links 450 million people producing $17 trillion worth of goods and services.

Trade between the United States and its NAFTA partners has soared since the agreement entered into force. US goods and services trade with NAFTA amounted to $1.6 trillion in 2009. Exports amounted to $397 billion. Imports were to the tune of $438 billion. The US goods and services trade deficit with NAFTA was $41 billion in 2009. Not only this, NAFTA had a great impact on US job market. Some allege NAFTA responsible for huge job loss. Some uphold creation of huge employment. Others contend that high-paying manufacturing jobs are being lost and replaced by lower paying jobs and is causing wage deflation in certain sectors. For Canada the picture is also not so pleasing. Canada also did not benefit much from NAFTA. Mexico has been worst affected. Subsidized corn supplies (read 'dumping') from USA are destroying the income opportunities of poor Mexican corn farmers. Mexico witnessed Zapatista Uprising in response to NAFTA in Chiapas. Indian trade with NAFTA countries are mostly dominated by Indo-US trade exchanges. The India-United States